Economic value of the global cycle factor −− timing a 10Y global bond portfolio

Strategy	Mean (%)	Vol (%)	Sharpe	CER, gamma=5 (%)	CER, gamma=10 (%)
GCF−timed	3.10	7.69	0.40	1.62	0.15
Recursive−mean timing	2.47	6.77	0.36	1.32	0.17
Buy−and−hold	2.27	6.74	0.34	1.14	0.00

Real−time strategy, 2005−2024 (n=221 months, asset OOS R2 = 0.13).
Mean−variance exposure w propto Ehat[rx]/sigmahat^2 from the recursive GCF_oos forecast (doubly out−of−sample). The Sharpe ratio is scale−invariant; mean, volatility and CER are reported at equal average exposure so the variance penalty is comparable. CER is the annual certainty equivalent of a mean−variance investor. Returns are local−currency excess returns; overlapping 12m returns.